Deutsche Bank
Research

Europe

Aerospace & Defence
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Industry
Flight Deck

Date
29 June 2026

Periodical

F-126 ripple effects

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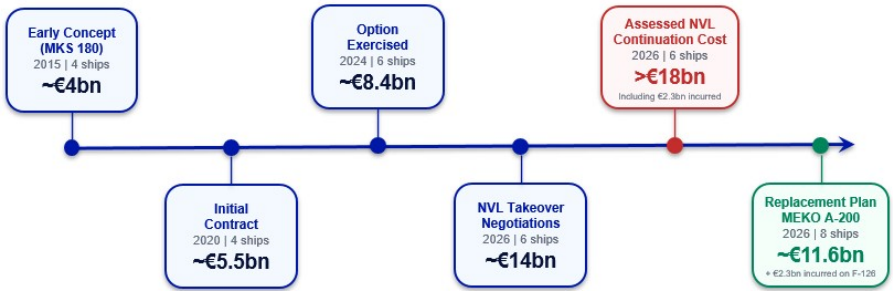
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Win for TKMS should not be a loss for the sector

Last week, Rheinmetall received a big blow to its Naval business growth ambitions as the German Government cancelled the troubled F-126 frigate program and handed over replacement orders to another German shipbuilder, TKMS. The market perceived this as harbinger of more negative news from German defence spending in the future, resulting in a significant de-rating of Defence stocks overall in Europe. We believe this is a project-specific issue at Rheinmetall and not reflective of any serious downturn in defence investment plans from Germany or other European countries. Positively, we consider that Germany has only changed the vendor for one of a key project and has quickly brought about a resolution to a long-running troubled program. Germany had already invested >€2bn and 5 years in the troubled F-126 and the overall project cost had ballooned to >€18bn under Rheinmetall and more importantly with an uncertain entry into service beyond 2030 for that Frigate. Germany has now awarded €12bn for the replacement F-128s from TKMS with entry into service as early as 2029, upholding its commitment to NATO on submarine capability for the Arctic Sea. Overall, **Germany has prioritised early product availability and project de-risking, and has not cut its budget spend plans**. In this context, we believe Rheinmetall's de-rating is a stock-specific headwind and reflects reduced investor confidence in the company's long-term outlook. We do not believe such project risks are widespread in other parts of defence (Land, Air, Space etc), hence we believe a broader derating of the entire German defence sector is not warranted.

Figure 1: Evolution of F-126 program cost over the years



Source : Deutsche Bank

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Distributed on: 29/06/2026 05:01:10 GMT



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Company news of interest

Below, we provide important sector news items relevant to our coverage universe. We select these stories and present them by company, along with our views.

Airbus (Buy, PT: €226)

Consolidating ownership in Aubert Duval

Airbus, Safran, and alternative asset management group Tikehau Capital have signed a binding agreement for the sale of Tikehau Capital's aerospace and defence fund's stake in Aubert & Duval. The stake will be acquired equally by its existing co-shareholders, Airbus and Safran. The completion of this transaction remains subject to the required regulatory approvals. This move signifies a consolidation of ownership by Airbus and Safran in Aubert & Duval. (Source: Company)

Our view: *This is good news for both Tikehau and Aubert & Duval, as the private equity exits its investments after three years and the supply chain is being consolidated by Aubert & Duval two key clients. The specific amount Tikehau Capital received for its stake is not explicitly stated. However, when Aubert & Duval was divested from Eramet in 2023-2024, the enterprise value was €95m. At that time, Aubert & Duval generated annual revenues of approximately €550m. By 2026, Aubert & Duval's revenue had grown to around €960 million. While the exact sale price for Tikehau's share isn't given, the increase in Aubert & Duval's revenue suggests a potentially higher valuation for the company since its initial acquisition.*

Airbus unions stage rare strikes over office attendance increase

French unions, including the CGT and CFDT, called for one-day stoppages and protests at Airbus on Thursday in response to the planemaker's directive to increase on-site working days for white-collar staff from a minimum of three to four days a week. This action, considered rare at Airbus, stems from a letter from CEO Guillaume Faury emphasizing improved focus, quality, and "individual presence on-site" following a slow start to commercial aircraft deliveries. The CGT union rallied over 100 staff at Airbus' Blagnac site, while the CFDT plans a similar rally on June 30 and is considering legal action, alleging Airbus is misapplying its 2024 remote-working agreement. FO, Airbus France's largest union, called for a pause on changes pending a July 7 European works council meeting, citing management assurances that the hybrid working agreement remains valid until 2028. Airbus confirmed the new group-wide hybrid work policy, stating its priority is close collaboration among employees, particularly for white-collar roles. (Source: Reuters)

Our view: *This is neutral for now and should not be overplayed, as strikes rallying 100 staff should be considered a non-event. That said, it could be indicative of the causal link between on-site working days and delivery momentum, as the company struggled to deliver planes in the first months of the year. Unless the strike movement is amplified, there should be no impact on company financials.*

EU extends tariff suspension in Boeing-Airbus trade dispute

The European Council has formally ratified the "Turnberry Agreement," a trade deal with the United States nearly a year after its initial handshake agreement. This legislative action, completed just before the July 4 deadline, involves the removal of remaining European tariffs on American industrial goods, preferential access for

certain U.S. agricultural products and seafood, and an extended suspension of duties on lobster imports. While the U.S. will maintain a 15% general tariff on most European imports, the EU has implemented safeguards allowing swift action against U.S. import surges and the suspension of tariff preferences if the U.S. reneges on commitments. The agreement automatically expires at the end of 2029, with an assessment of its impact by June 30 of that year. The EU also voted to maintain the suspension of $4 billion in retaliatory duties against the U.S. in the ongoing Airbus-Boeing subsidy dispute, which had previously led to an $11.5 billion tariff battle and a truce brokered in 2021. (Source: Bloomberg)

Our view: *This is the plain formalization of an agreement already in place, so comforting, but neutral to the case. Conversely, not ratifying the handshake agreement would have been a negative surprise.*

Kazakhstan signs deal to buy 50 Airbus aircraft

Kazakhstan's national air carrier, Air Astana, has signed an agreement with Airbus for the delivery of up to 50 aircraft, valued at approximately $9.45 billion. This includes a firm order for 25 aircraft from the Airbus A320neo and A321neo families, with an option for an additional 25, including long-haul Airbus A321LR aircraft. Deliveries are slated to begin in 2031, aiming to expand the airline's fleet. This deal follows a previous agreement in November 2025 with Boeing for 18 Boeing 787-9 Dreamliner aircraft, valued at $7 billion. (Source: Bloomberg)

Our view: T*his remains good news, but is unsurprising , to some extent , considering Air Astana's fleet strategy.*

Airbus readies for decision on 'simple' A220 stretch to match customer demands

Airbus is strongly considering a "simple" and quick stretch of its A220 narrowbody, potentially dubbed the A220-500, to accommodate up to 185 passengers, according to Guillaume Chevasson, CEO of Airbus Canada. This potential variant aims for rapid market entry and minimal risk, driven by customer feedback. Despite early speculation, Airbus intends to maintain Pratt & Whitney as the sole engine supplier for the A220 program, citing improvements in the PW1500G engine's performance, durability, and reliability, as well as the significant cost of switching suppliers. While a launch decision for the A220-500 is not yet confirmed, intensive engineering studies and customer analyses are underway. Pratt & Whitney has affirmed its commitment to supporting any future A220 variants. Airbus anticipates needing modifications to its Mirabel final assembly line to manage the production ramp-up of a new variant alongside existing -100 and -300 models, aiming for a total output of 13-14 aircraft per month by 2028. The company is not concerned about potential cannibalization of A320neo sales, believing the A220-500 will offer airlines more choices without significant overlap. (Source: FlightGlobal)

Our view: *The A220-500 launch could be announced at the Farnborough Airshow. The interesting element here would be to maintain Pratt & Whitney as the sole engine supplier, which could serve (in our view) as leverage in negotiating OEM delivery volumes for the A320neo, thus a potential positive read-across to the case.*

EASA orders urgent checks for wing-spar cracks on several A380s

The European Union Aviation Safety Agency (EASA) has issued an emergency directive requiring urgent wing spar inspections on several Airbus A380 aircraft due to concerns over structural integrity. Five A380s, all operated by Emirates, must undergo these inspections before their next flight. Additionally, 11 other aircraft, 10

from Emirates and one from Qantas, need to be inspected within the next 25 flight cycles. This directive, effective from 24 June, follows previous instructions over the past two years concerning wing spar cracks, and is a result of findings indicating that identified cracks could compromise the wing's structural integrity. So far, EASA has not ordered the entire global A380 fleet to be grounded due to limited indications of a widespread safety risk across all aircraft. (Source: FlightGlobal, Simple Flying)

Our view: *This is a negative for Airbus, as it points to additional programme costs: in the early 2010s, the Airbus A380 faced significant wing spar and rib feet cracking issues that emerged prominently incurring substantial costs for Airbus and prompting extensive inspections and modifications To cover the modification of affected A380s and the repair bill for earlier aircraft, Airbus registered charges of approximately €260 million to €264 million. We believe, how, that the amount could be lower this time, given the fact that the fleet has shrunk.*

Poland confirms planned MRTT procurement

Poland is reportedly in the final stages of acquiring Airbus A330 Multi Role Tanker Transport (MRTT) aircraft to enhance the operational capabilities of its Air Force, particularly for its Lockheed Martin F-16 Fighting Falcon and F-35PL Husarz combat fleets. This procurement is being negotiated through the European Union's Security Action for Europe (SAFE) financing programme. While the specific number of aircraft and delivery dates remain undisclosed, Poland's Deputy Prime Minister and Minister of National Defence, Władysław Kosiniak-Kamysz, emphasized that the MRTTs will enable Polish F-35s to operate "further, longer, and with greater effectiveness," significantly bolstering the Polish Armed Forces. (Source: Janes)

Our view: *This isn't news, but the A330 MRTT has become the platform of choice. Poland's efforts to acquire aerial refueling capabilities date back to 2008, but budget cuts repeatedly shelved these initiatives. Poland abandoned a multinational approach launched in 2014, initially with the Netherlands and Norway, in 2016, reportedly due to cost and industrial offset concerns. It has not become an urgent operational requirement. First deliveries are anticipated around 2029-2030.*

Embraer weighs gamble to take on Boeing and Airbus

Embraer is contemplating a significant gamble by intensifying plans to enter the narrow-body jet market, traditionally dominated by Airbus and Boeing for four decades. This new-found confidence follows an avalanche of sales for its regional jets and is spurred by Airbus and Boeing struggling to meet delivery schedules, with waiting times for their popular A320 and 737 models now stretching to almost a decade due to supply chain bottlenecks. Embraer's commercial aviation CEO, Arjan Meijer, confirmed that airlines are "bombarding" them with requests to build a new narrow-body aircraft, and the decision is under "constant review," with engineering teams already working on necessary technologies. While the E2, Embraer's flagship, is already larger than an A320, and the company manufactures the C-390 military transport with an A320-wide fuselage, Meijer acknowledges the immense financial risks, referencing the fate of Bombardier, which faced near-bankruptcy after a foray into the narrow-body market. Despite the risks and a missed opportunity during the Boeing 737 Max crisis, Embraer believes it can compete, having successfully challenged Airbus in the regional jet market with its E2. (Source: Bloomberg)

Our view: *This is a theoretical negative to Airbus and Boeing . Embraer's potential entry into the narrow body segment has often been envisaged, with the company (at*



times) balking at the idea of directly challenging Airbus and Boeing on their coveted markets. While we acknowledge Embraer's superior engineering capabilities, the cost of developing a new aircraft could be daunting at a time when a potent engine offering has not been finalised.

Airbus Helicopters focused on ramp-up, with H145 poised for 'biggest step'

Airbus Helicopters' new CEO, Matthieu Louvot, is confident in achieving a significant ramp-up in production across its programs this year, particularly focusing on the H145 light-twin, with a target of 120 deliveries in 2026. This represents approximately a 25% increase over 2025's 96 shipments, driven by sustained popularity and recent orders from multiple customers. Louvot anticipates H145 production will eventually double from a 70-unit baseline within a few years. To support this, Airbus Helicopters has established a new assembly line in Columbus, Mississippi, and reconfigured its main H145 facility in Donauworth, Germany. Additionally, the company is increasing output for other models, including the H160 medium-twin, aiming to deliver close to 40 aircraft this year, up from 29 in 2025. (Source: FlightGlobal)

Our view: *This is considered as a positive, as extra volumes could be margin enhancing. Airbus Helicopters' new CEO has been extremely vocal about the unit's ambitions to grow market share and volumes, since he joined. The challenge is now to deliver on these promises.*

BAE Systems (Hold, PT: 2,140p)

Vantor selects BAE Systems to build next-generation imaging satellites

Vantor has selected BAE Systems to develop its next-generation high-resolution imaging satellites, marking a reunion with the former Ball Aerospace business that previously worked on DigitalGlobe's Earth-observation satellites. BAE Systems will build Vantor's planned Vantage satellites, a new class of 20-centimeter imaging spacecraft, with two such satellites expected to enter service before the end of the decade as part of Vantor's fleet expansion. The decision to partner with BAE Systems, which acquired Ball Aerospace in 2024, was based on its extensive heritage in spacecraft systems and its long-standing relationship with Vantor. (Source: SpaceNews)

Our view: *This is a positive, demonstrating BAE's leadership in satellite manufacturing: Ball Aerospace (now part of BAE Systems) and Vantor have a history of collaboration on multi-satellite intelligence programs, including Quickbird and WorldView. These satellites are designed to collect the most accurate, highest-resolution commercial imagery currently available in orbit.*

BAE Systems starts third tranche of £1.5 billion buyback

BAE Systems initiated the third tranche of its share buyback scheme, valued at up to £500 million, as part of a larger £1.5 billion, three-year program announced in August 2023. The purpose of this program is to reduce the company's share capital by canceling the repurchased shares and is expected to be completed by June 30, 2027. (Source: Bloomberg)

Our view: *This is in line with expectation. This is the last tranche of the agreed plan, so that the more interesting question in February 2027 will be BAE's decision to renew or stop the buy-back programme.*



China Adds BAE Systems Unit to Export Control List

China's Ministry of Commerce has added BAE Systems' space and mission systems business, specifically Ball Aerospace & Technologies, along with nine other U.S. entities, to its export control list, effective immediately. This action prohibits Chinese exporters from trading dual-use items with these companies, citing national security and interests as the reason for the ban. (Source: Bloomberg)

Our view: *This is neutral to BAE Systems in our view, as the company has no specific reason to be dealing with China anyway. The issue could be more on rare earth, which are used on radar applications, but we largely expect BAE to have de-risked their procurement.*

Australia, Canada Sign $1.75 Billion Deal for Arctic Radar System

Canada has agreed to purchase an advanced over-the-horizon radar system from Australia in a deal valued at approximately US$1.75 billion, marking Australia's largest-ever defense export and its first international sale of this technology. This acquisition is part of Canada's ramped-up defense spending to enhance its ability to detect and deter threats in the Arctic and modernise the North American Aerospace Defense Command (NORAD). Canadian Prime Minister Mark Carney emphasized the importance of this investment in protecting North America and addressing U.S. concerns about Canada's defense capabilities, particularly in detecting low-flying missiles over the North Pole. Signed in Canberra, this agreement represents the initial phase of a broader collaboration on Canada's Arctic radar capabilities, with BAE Systems scheduled to commence work on July 1, aiming for initial operational capability by December 2029. (Source: Bloomberg)

Our view: *This is a massive deal coming out of BAE's Australian operations, hence another demonstration that BAE's multi domestic approach is bearing fruit in time, with Australian operations acting as a a "small BAE".*

BAE confident of T-7 trainer offer to UK, as industry awaits competition launch

BAE Systems is awaiting the launch of a competition to promote the Boeing T-7 advanced jet trainer (AJT) for the UK Royal Air Force's (RAF) requirement to replace its BAE Hawk T2s and T1-model Hawks used by the Red Arrows. Chris Hunter, BAE's T-7 campaign director, stated that the company is in the "preparation phase" ahead of the UK Ministry of Defence releasing formal requirements. BAE, which formed a teaming agreement with Boeing and Saab last year, plans to build the T-7s in the UK, potentially at its Warton site, with final assembly and sovereign capability development. Hunter emphasized that the T-7 is seen as a comprehensive training system, not merely a one-for-one replacement, capable of preparing pilots for fourth, fifth, and sixth-generation combat aircraft. While the Hawk T1 fleet is expected to retire in 2030, BAE is confident in meeting the timelines once the procurement process begins, anticipating the long-delayed Defence Investment Plan to be published before the early-July NATO Summit. Other potential contenders for the UK opportunity include Leonardo's M-346, the Lockheed Martin-backed Korea Aerospace Industries (KAI) T-50, and possibly Turkish Aerospace's Hurjet. (Source: FlightGlobal)

Our view: *This is by no means a done deal for BAE, as Leonardo's M346 has seen recent successes in Canada and could also be partly produced in the UK, if needed (considering Leonardo's industrial footprint in the UK.*

CSG (Buy, PT: €30)

Czech Tatra Trucks Secures Financing for Expansion Plans

Tatra Trucks, a subsidiary of CSG, has secured several billion Czech crowns in financing from Ytara SPV, a company controlled by billionaire Michal Strnad but separate from the CSG Group. This funding aims to support Tatra Trucks' strategic investments in expanding its production capacity. The statement indicates that Strnad's financial backing underscores his confidence in Tatra's growth prospects, and he is reportedly prepared to reinvest a portion of his proceeds from the CSG Group's IPO into Tatra. (Source: Bloomberg)

Our view: *This is positive, as Tatra is central to the CSG investment case and a flagship "element" in the land vehicle strategy of the company.*

Czech Republic will miss NATO defence spending target again this year

The Czech Republic will not meet NATO's 2% minimum defense spending target this year, but Prime Minister Andrej Babis announced that the country aims to reach it by 2027. Despite many allies increasing defense spending in response to Russia's war in Ukraine, the Czech Republic spent less than 2% of GDP last year under the previous government. Babis's current government reduced this year's original defense spending plan to approximately 1.7-1.8% of GDP, prioritizing public finance order and increasing spending on energy price subsidies and road building, which contributed to a higher overall budget deficit. Although NATO has raised its minimum spending target to 5% of GDP by 2035, with 3.5% allocated to core military spending, Babis stated his conviction that the Czech Republic will manage the 2% GDP boundary next year as part of a long-term plan, responsibly increasing defense spending in subsequent years to align with the security situation and allied commitments. (Source: Reuters)

Our view: *This is more a country-specific issue, the country's defence spending not seen as heavily influencing European trends. Still, it shows that governments are not systematically endorsing NATO targets, at least in the short term. The situation was known, so neutral to CSG.*

Dassault Aviation (Hold, PT: €330)

EU Court Sides with Dassault Aviation in Green Taxonomy Exclusion Case

The European Union's General Court has overturned the European Commission's decision to exclude aircraft manufacturing for private or commercial business aviation from the EU's green taxonomy rules. The ruling, prompted by a lawsuit from Dassault Aviation, stated that the Commission failed to consider the ability of these aircraft to operate on sustainable aviation fuels and acknowledged the need for further analysis. Dassault Aviation argued that the exclusion was unlawful and negatively impacted its access to funding and sustainability reporting. The court also highlighted that other transport modes aren't always low-carbon alternatives due to private jets' unique flexibility, speed, and connectivity, and that CO2 emissions relate to operation, not manufacturing. The Commission has two months to appeal. (Source: Reuters, Bloomberg)

Our view: *This remains neutral to the case, but demonstrates how the Green Taxonomy has negatively impacted a company like Dassault Aviation's ability to access funding.*

Exosens (Hold, PT: €60)

Exosens secures €140 million in EIB financing to foster innovation

Exosens secured a €140 million financing facility from the European Investment Bank (EIB). This funding, backed by the InvestEU programme, will support Exosens' research, development, and innovation activities, as well as industrial investments in advanced night vision and imaging technologies for European defense, surveillance, and industrial markets. The seven-year facility aims to bolster Exosens' innovation and production capabilities, particularly at its Brive-la-Gaillarde facility in France, aligning with EIB's strategic priorities of fostering technological innovation, strengthening Europe's defense and security, and supporting industrial sovereignty. (Source: Company)

Our view: *This is positive for Exosens from a funding perspective. The €140m is still a financial liability, but typically comes with easier covenants and for a period of seven years. This should be helpful for Exosens which is under a major capacity ramp-up over the next couple of years. It is unclear at this stage if Exosens will draw down the entire amount upfront or stands as a credit facility which can be used as needed.*

Leonardo (Buy, PT: €70)

Italy says more nations willing to join GCAP jet project

Italy's Defense Minister, Guido Crosetto, indicated that the Global Combat Air Programme (GCAP) is open to new participants. Crosetto emphasized that expanding the program to include more countries would facilitate greater cost-sharing. Canada is currently showing interest as an observer, and Italy is receptive to other nations like Germany, Saudi Arabia, or others joining, as increased participation would enhance creation and reduce expenses. This openness comes after Germany and France abandoned their own fighter jet project due to impasses between arms firms, and Leonardo's CEO recently noted Germany's potential industrial expertise as a valuable contribution to GCAP. (Source: Reuters)

Our view: *We believe the GCAP program is open to new partnerships, but the level of involvement matters. The development phase is well underway, leaving little room for new partners. However, production will undoubtedly require additional nations. While we see the rationale for Airbus to join GCAP, compromises on workshare or the risk of slowing the program may be necessary.*

Italy rejects aid scheme that buys US weapons for Ukraine's defense

Italy has opted not to fund the purchase of US weapons for Ukraine through the NATO Prioritised Ukraine Requirements List (PURL) scheme, with Defense Minister Guido Crosetto confirming the decision in parliament. This stance comes despite NATO reporting nearly $6 billion pledged to PURL, which has funded 70% of missiles for Ukraine's Patriot batteries and 90% of ammunition for other air defense systems. Italy's Prime Minister Giorgia Meloni has also indicated that Italy may not join the EU's NEC scheme, which allows exemption of defense spending from deficit calculations, or the SAFE loans program, which would have provided €14.9 billion in cheap loans for defense spending. Meloni cited the need to focus on covering rising fuel bills for her reelection campaign, as defense spending is becoming unpopular with voters. Despite these limitations, Italy has informed NATO it will push defense spending to 5% of GDP, comprising 3.5% for weaponry and 1.5% for domestic security. (Source: DefenseNews)

Our view: *This reads as a negative for Leonardo, Fincantieri and European defence*

spending at large, confirming investor fears that defence budgets could be adjusted at will, depending on the political climate and the related popularity of the measure. It is understood that the commitment to reach defence spending at 5% of GDP could be back-end loaded.

MTU Aero Engines (Buy, PT: €428)

IATA calls for MRO market reform to address engine issues

IATA is urging CFM International and Pratt & Whitney to significantly increase investment in Maintenance, Repair, and Overhaul (MRO) facilities and foster greater competition in the aftermarket. This call comes amidst projections of a substantial surge in shop visits for single-aisle engines, with annual CFM Leap engine visits expected to exceed 5,000 by 2040 (up from 600-800 last year) and P&W GTF series visits to double to 2,000 (from 1,000 in 2025). IATA estimates airlines incurred at least $11 billion in additional costs last year due to new-aircraft delivery delays, forcing older, less efficient jets to remain in service and require more maintenance, a figure anticipated to rise in 2026. Outgoing Director General Willie Walsh highlighted the irony of OEMs increasing profitability while airlines struggle with these additional costs, suggesting the problem creators are benefiting financially at the expense of those awaiting solutions. The association emphasizes that a more transparent, competitive, and collaborative aftermarket is crucial for long-term resilience and that existing business models between aircraft and engine manufacturers need to be revisited to better support operational resilience throughout the aircraft lifecycle. (Source: Cirium)

Our view: *This highlights the need for continued structural investment into MRO capacity given the upcoming shop visit volumes. To be fair, CFM also intends to rely on third-party players to address these capability gaps. This issue will likely be recurring at IATA, as it's increasingly concerned about airline competitiveness and engine maintenance costs.*

Theon (Buy, PT: €39)

Theon receives new orders of c.€70 million

Theon announced an approximate €70 million new order intake, primarily from Rheinmetall for the Bundeswehr's Future Soldier program. This includes a mix of new firm orders and exercised options for products within its A.R.M.E.D ecosystem portfolio, with additional orders anticipated later in the year. This further solidifies Theon 's role in soldier digital vision systems for the IdZ program and its ambition in Augmented Reality (AR) applications for soldiers. The company experienced accelerated order intake in Q2, reaching approximately €153 million, with an additional €27 million in options, bringing the year-to-date total to around €223 million, plus €68 million in options. These figures fully consolidate Kappa and Harder Digital order intake. Theon expects further acceleration in H2, particularly in Q4, and reiterates its FY 2026 guidance of maintaining an organic book-to-bill ratio above 1.0x. (Source: Company)

Our view: *This is a modest positive for Theon as the company is already a key supplier to Rheinmetall in the IDZ program and the new order is just an extension of the old one. The company also highlighted the order intake so far in H1 of €223m, which is well above the order level of H1 last year.*

Thales (Hold, PT: €283)

Thales Secures Significant U.S. Army LOCODA Radio Order Following Rapid Development Push

The U.S. Army selected the Thales Radio Adaptable Transport (RAT) to support its Low Cost Data Architecture (LOCODA) tactical communications transformation, with Thales Defense & Security (TDSI) securing an order for up to 5,000 LOCODA RAT platforms. Rapidly developed and field-ready in under four months, LOCODA RAT delivers scalable, modular, multi-transport voice and data connectivity designed to modernize communications and integrate effortlessly into existing and future U.S. Army vehicle platforms. Its modular architecture allows for the simultaneous embedding of additional radios, amplifiers, and mission modules to extend communication range and expand transport options, aligning with the Army's broader effort to modernize tactical communications for distributed operations in contested environments. (Source: Bloomberg)

Our view: *This is good news for Thales, but no first time: Thales has a long and successful history of securing significant radio contracts with the U.S. Army, primarily through its subsidiary Thales Defense & Security, Inc. (TDSI). The success is largely attributed to Thales' expertise in developing combat-proven, software-defined radio (SDR) equipment that addresses critical needs for secure, multi-band, and interoperable communications for soldiers on the battlefield. For instance, Thales has been a key player in the JTRS initiative, which aimed to develop software-defined radios for various military applications.*

The French DGA shows interest in the S301 tactical combat drone developed by Schiebel and Thales

French General Schill has suggested the possibility of acquiring less-expensive and less-armed attack helicopters if drone technology proves sufficiently effective. The French Army's Light Aviation (ALAT) is exploring "aerocombat dronization" through three avenues: air-launched effectors (ELA), tactical aerocombat drones (DTA) that can operate semi-autonomously or autonomously, and their coordinated use with other joint combat components. The goal is to achieve "mass" with affordable and performant tactical aerocombat drones. Austrian company Schiebel, in partnership with Thales, presented the Camcopter S301 at EuroSatory, a 700 kg drone with a 120-knot speed and a 250-300 kg payload capacity. The S301, benefiting from Thales's AI unit CortAIx, can carry a variety of munitions and electronic warfare capabilities. The French Directorate General of Armaments (DGA) has shown "keen interest" in the S301, which has also been proposed by Schiebel and Thales for the ADAPT tender to replace the Patroller tactical drone. (Source: Opex3601)

Our view: *This should support discussions around new technologies replacing legacy platforms, as the intent is clearly to replace helicopters with drones in this case. Schiebel has been around for years, but this consideration may demonstrate increasing technology maturity, probably aided by Thales' contribution.*

Thales forms a "strategic partnership" with the Netherlands to increase radar antenna production by 60%

Thales and the Dutch Ministry of Defense announced a strategic partnership to boost the production and testing capabilities of radar systems at Thales's Hengelo facility in the Netherlands. This agreement, aimed at increasing radar antenna production by 60% by 2028 to meet growing demand, involves developing a state-of-the-art near-field test site with an anechoic chamber, providing training facilities, expanding complex printed circuit board production, and constructing a new test tower. For the Dutch Defense Ministry, this partnership ensures the security of radar system supplies, guarantees operational maintenance for their armed forces, and

provides access to cutting-edge equipment, while also encouraging other European partners to join existing Dutch contracts. (Source: Opex360)

Our view: *This is encouraging news, but raising the production rate by 60% has now become relatively standard across the industry (some are on 2x). This confirms Thales' ambitions in Defence and the desire to continue ramping up production, as demand grows. In addition, the Netherlands is a key market for the company, notably for Naval applications.*

Thales partners with South Korea's Hanwha on long-range missiles

Thales and Hanwha Aerospace have signed an accord to develop long-range land-based precision strike missiles. This collaboration will involve making Hanwha's Chunmoo guided missiles compatible with Thales' "X-Fire" launcher platforms. Thales emphasized the partnership as a move towards stronger "collaboration between European and Korean industries." Julien Assoun, Vice-President of Vehicles & Tactical Systems at Thales, stated that this MoU strengthens their partnership, enhances long-range precision strike capabilities, and aims to deliver flexible and interoperable solutions for deep strike operational needs in the international market. (Source: Bloomberg)

Our view: *This reads as a neutral to positive for Thales, as the partnership potentially enlarges the addressable market for its X-Fire platform. This appears to be a constructive approach to South Korean's growing competition in Europe and other markets.*

TKMS (Buy, PT: €110)

Germany scraps F-126 frigate program, pivots to MEKO warships amid cost and contractor chaos

Germany's Defense Ministry has confirmed the cancellation of its F126 frigate program due to persistent delays and projected cost overruns, which would have escalated the cost of six frigates from an initial €10 billion to over €18 billion. Instead, Germany will procure eight MEKO A-200 frigates from TKMS for an estimated €11.6 billion. The initial four MEKO frigates are priced at approximately €6.3 billion, with an option for four additional ships for €5.3 billion, exercisable through the end of 2026. This decision follows the ministry's refusal to waive potential damage claims against Damen, which a contractor switch would have required. The shift aims to meet NATO anti-submarine capability deadlines, with the first MEKO frigate expected for delivery in 2029. The cancellation significantly impacted Rheinmetall, whose shares fell by 20% due to their expectation of becoming the lead contractor for the F126 program in a €12.8 billion deal, and follows its recent €1.5 billion acquisition of Naval Vessels Lürssen to expand into shipbuilding. Dutch shipyard Damen Naval initially won the contract in 2020 to build four F126 frigates, later expanded to six, but the project suffered from software problems and communication issues, leading to tensions that prompted discussions about replacing Damen with Rheinmetall as lead contractor.Defense Minister Boris Pistorius stated that €2.3 billion had already been spent on the F126 project, and while damage claims against Damen are being examined, the chances of success are low. (Source: DefenseNews, Reuters)

Our view: *This is positive news for TKMS on several fronts. (1) As mentioned in our Apr 2026 upgrade note, we baked only value for four MEKO 200s with likely order for four more if F-126 is cancelled (2) We currently assume only €1bn per ship and*



today's news uplifts this value by 60% in medium term (3) We pegged the overall budget for F-126 alternate solution at €8bn and today's €12bn uplifts long term potential by 50% (4) GNYK bid competition from Rheinmetall could now ease considerably. With F-126 cancelled the value for GNYK acquisition should also be much lower and finally (5) If German MoD expects simultaneous execution of these additional 4 ships as well it could change the cash flow profile favourably for TKMS. However, it's a clear negative for Rheinmetall and the company had reiterated to expect the order to be approved in the budget committee meeting on July 8. The F126 is also included in the order intake guide for the FY26 (about EUR80bn) and Q2 with about EUR10bn+ so a cancellation would take down the order intake indication substantially. Moreover, the NVL acquisition and the 2030 Naval targets will also be under scrutiny.

From our stable

Below, we share links to some of our most recent and important publications on individual companies and the sector, for ease of reference.

Our recent reports

UK Defence budget: Defence Secretary resignation bad omen for UK defence budget (11 June 2026)

Safran: Key take-aways from defence site visit (10 June 2026)

Hensoldt: Cash Conversion Up, Momentum Strong (1 June 2026)

CSG: Some relief, but risks persist (22 May 2026)

CSG: Q1 26 results - our first take (20 May 2026)

CSG: Q1 26 preview - soft start (14 May 2026)

European Defence: Some thoughts on current European defence valuation levels (12 May 2026)

Airbus: Feedback from roadshow with CFO (12 May 2026)

TKMS: Encouraging H1 26 results (12 May 2026)

Fincantieri: Post Q1 26 - Short term Naval weakness (12 May 2026)

Airbus: April 2026, a better month of deliveries (8 May 2026)

BAE Systems Plc: A solid Q1 trading statement (7 May 2026)

Renk AG: Q1-26 results: VMS main driver on order intake and EBIT (6 May 2026)

Leonardo: Q1-26 results: a beat on order intake, EBITA and FOCF (6 May 2026)

Hensoldt: Q1-26 results: a beat on order intake, FY26 guidance confirmed (6 May 2026)

Theon International: Q1 26 results - Good start (5 May 2026)

Flight quarters: Resilient Q1-26, but Middle East & MRO challenges loom in Q2 (5 May 2026)

CSG: Short seller report (4 May 2026)

Rolls-Royce: An upbeat Q1 IMS statement (30 April 2026)

MTU Aero Engines: Q1-26 results better on EBIT and FCF, FY26 guidance confirmed (30 April 2026)

Fincantieri: Q1 26 preview - Naval weakness (29 April 2026)

Airbus: A disappointing Q1, but an improved delivery outlook (29 April 2026)

TKMS: Capturing upside from F-128 (28 April 2026)

Sector/thematic reports

Aerospace and Defence: European A&D – 2026 outlook (13 January 2026)

European A&D – 2025 outlook (17 December 2024)

Flight quarters: Q1 24 – Back to the top (22 January 2024)

European A&D – 2024 outlook (8 December 2023)

European Defence: Lessons from Ukraine(12 April 2022)

Commercial Aerospace: No (jet)lag in competition (24 June 2021)

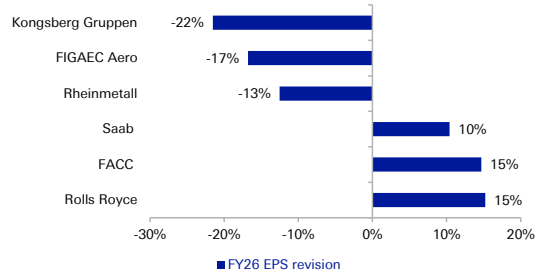
Aerospace & Defence: The Time is Now – Initiating on EU A&D with a constructive stance (10 February 2021)

EPS estimate revisions

EPS estimate revisions for European A&D stocks

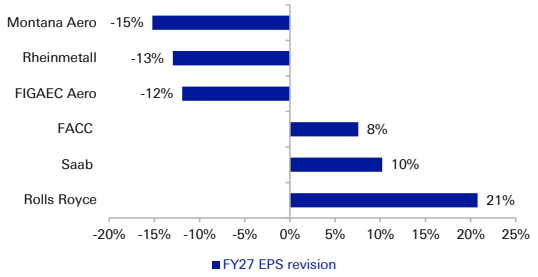
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for the European Aerospace & Defence names since the start of 2026.

Figure 2: FY26E EPS change



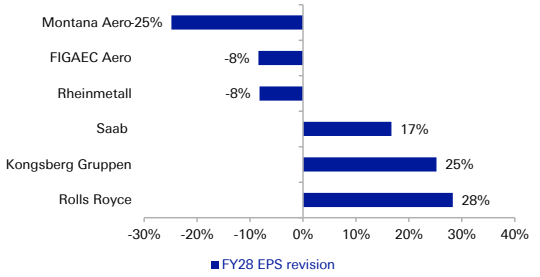
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 3: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 4: FY28E EPS change

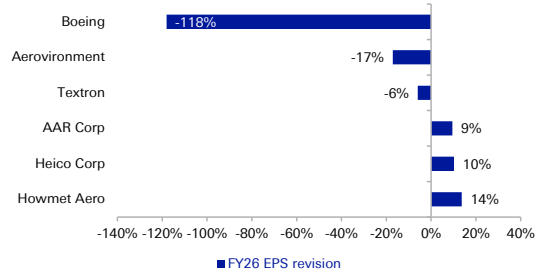


Source : Deutsche Bank, Bloomberg Finance LP

EPS estimate revisions for US A&D stocks

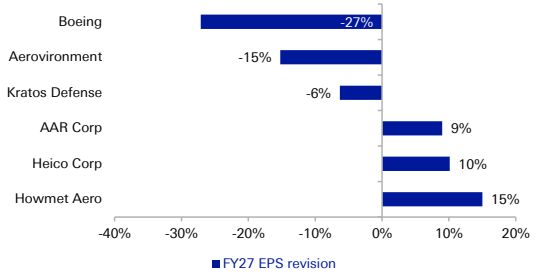
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for the US Aerospace names since the start of 2026.

Figure 5: FY26E EPS change



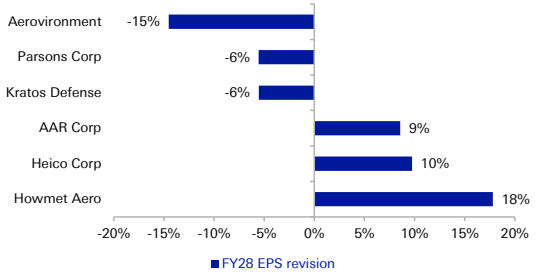
Source : Deutsche Bank, Bloomberg Finance LP

Figure 6: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 7: FY28E EPS change

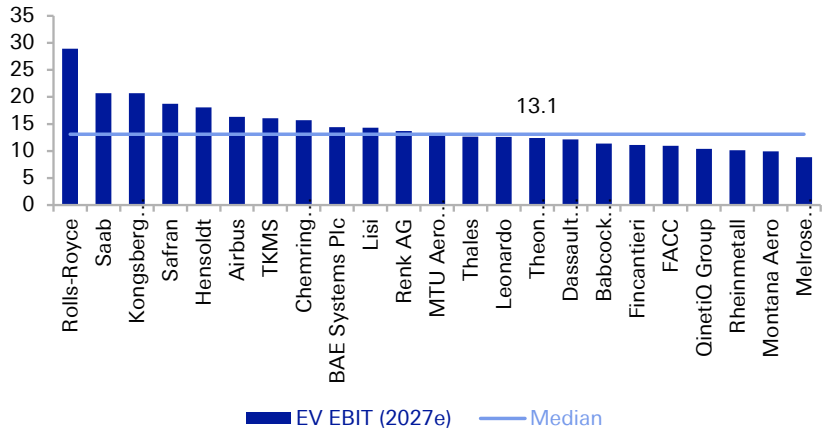


Source : Deutsche Bank, Bloomberg Finance LP

A&D stock trading multiples

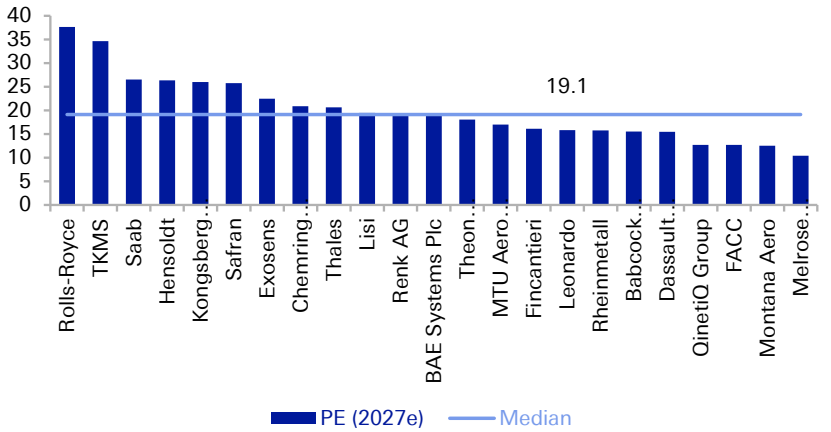
Europe A&D trading multiples

Figure 8: EV/EBIT multiples (FY27E)



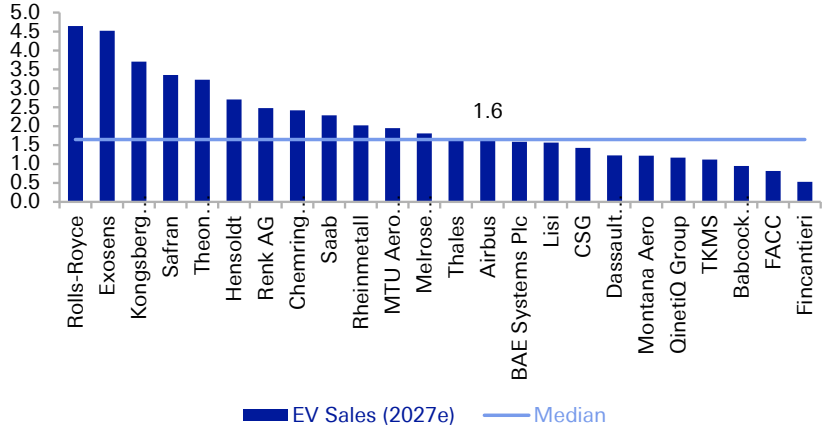
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 9: P/E multiples (FY27E)



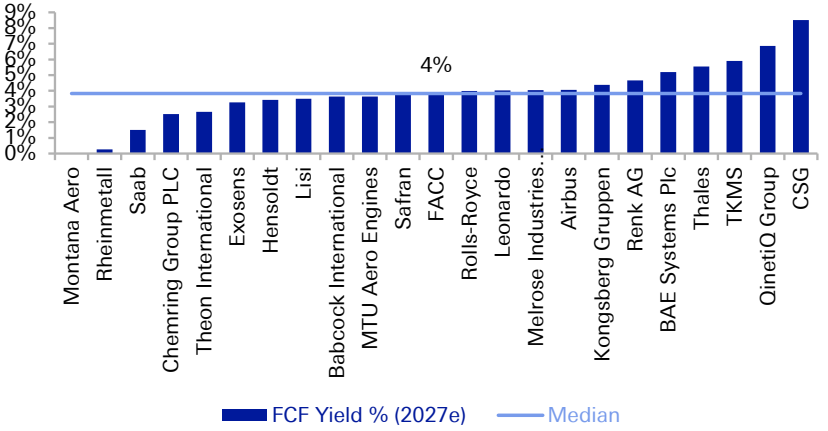
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 10: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

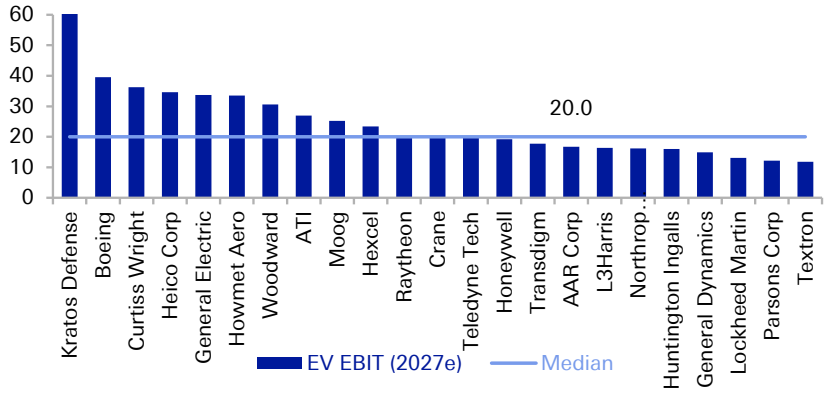
Figure 11: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

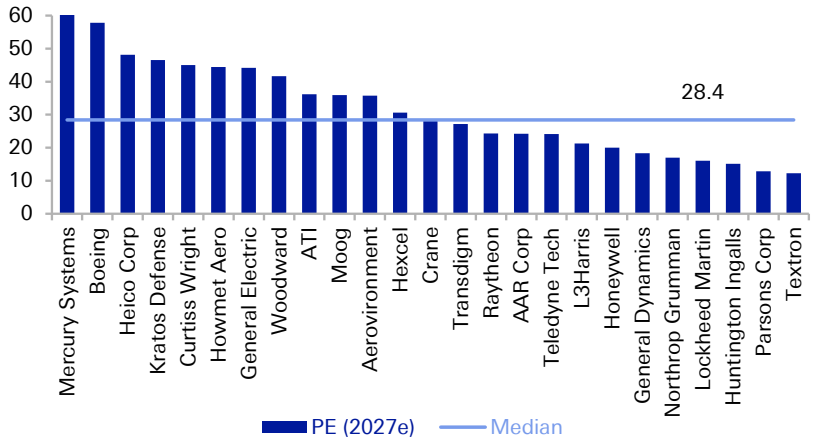
US A&D trading multiples

Figure 12: EV/EBIT multiples (FY27E)



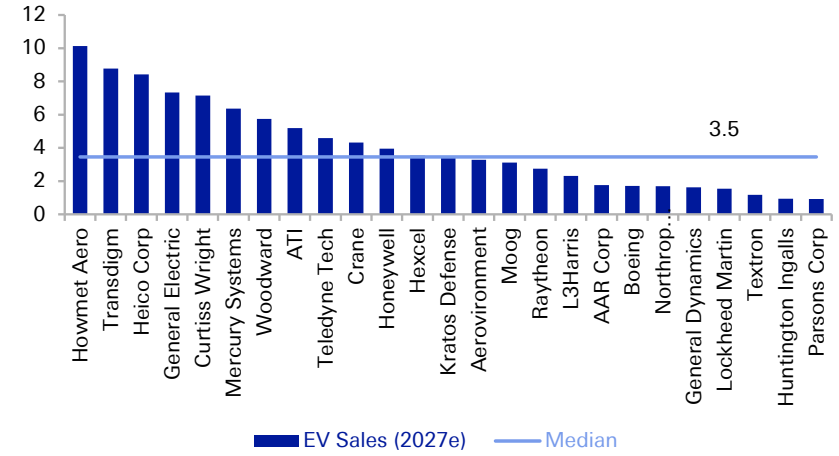
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 13: P/E multiples (FY27E)



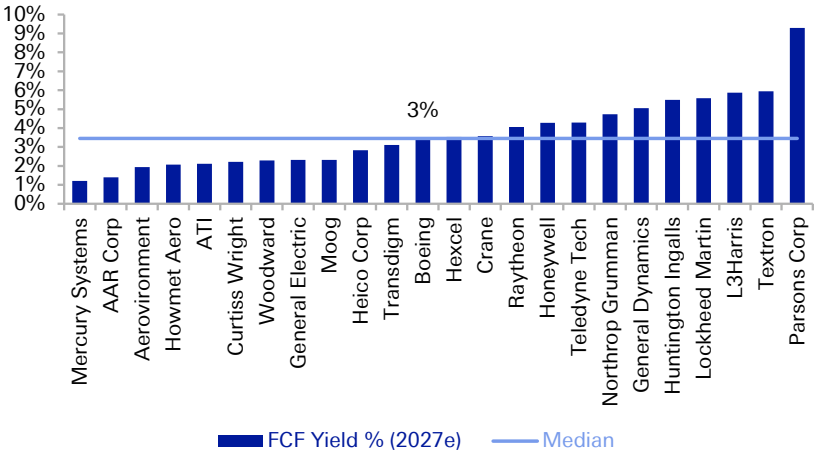
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 14: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

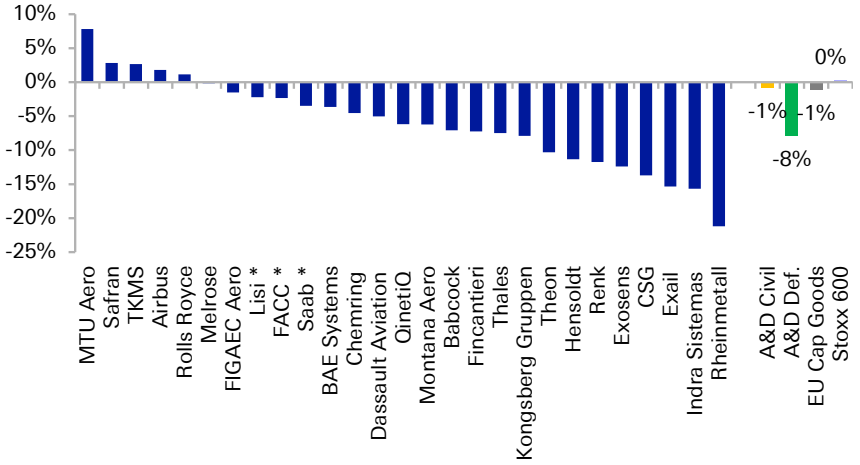
Figure 15: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

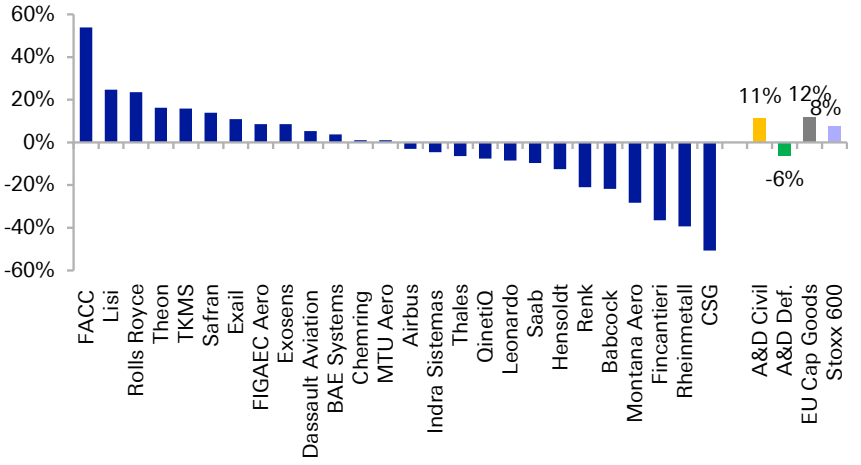
A&D share price performance

Figure 16: Europe A&D – last week's performance



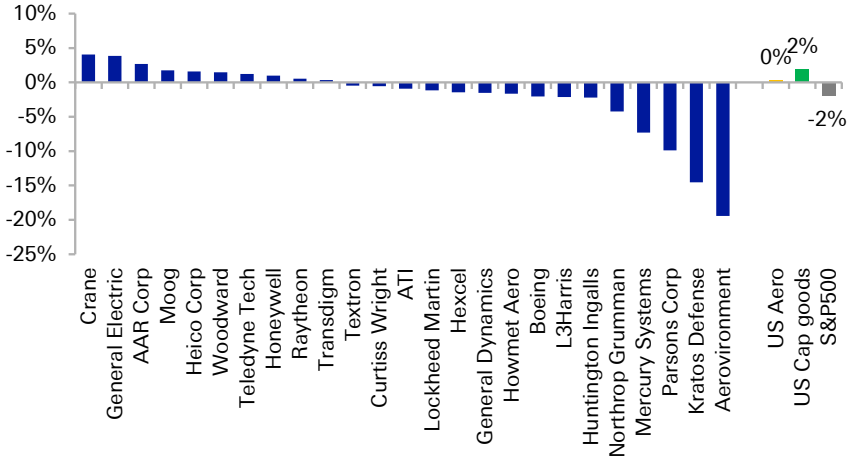
Source : Deutsche Bank, Bloomberg Finance LP

Figure 17: Europe A&D – YTD 2026 performance



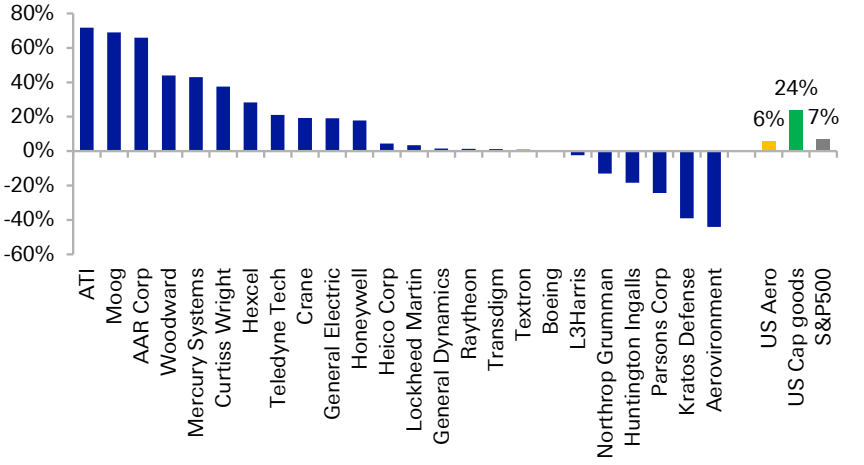
Source : Deutsche Bank, Bloomberg Finance LP

Figure 18: US A&D – last week's performance



Source : Deutsche Bank, Bloomberg Finance LP

Figure 19: US A&D – YTD 2026 performance



Source : Deutsche Bank, Bloomberg Finance LP

A&D sector valuation

Valuation table – listed major European A&D companies

Figure 20: European A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
26/Jun/26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
Airbus	Christophe Menard	EUR	192.8	226.0	17%	Buy	9.6%	10.1%	11.1%	1.9	1.6	1.4	19.2	16.3	12.5	25.9	22.9	18.1	1.8%	2.1%	2.8%	3.0%	4.1%	5.2%	59%	70%	72%
Safran	Christophe Menard	EUR	338.7	365.0	8%	Buy	17.3%	17.9%	18.3%	3.8	3.3	3.1	21.9	18.8	16.9	33.5	25.8	23.1	1.3%	1.7%	1.9%	3.2%	3.8%	4.0%	73%	76%	72%
MTU Aero Engines	Christophe Menard	EUR	358.8	428.0	19%	Buy	14.4%	14.9%	15.3%	2.2	1.9	1.7	15.3	13.1	11.2	19.9	17.0	14.8	1.3%	1.8%	2.7%	2.8%	3.6%	4.6%	39%	45%	50%
Rolls-Royce	Christophe Menard	GBP	1,424.4	1,325.0	-7%	Buy	15.4%	16.0%	16.4%	5.3	4.6	4.1	34.3	28.9	25.1	43.8	37.7	33.5	0.7%	0.8%	0.9%	3.2%	4.0%	4.2%	111%	122%	115%
Melrose Industries PLC	Richard Paige	GBP	470.2	570.0	21%	Hold	18.9%	20.5%	21.9%	2.0	1.8	1.6	10.5	8.8	7.4	12.6	10.4	8.8	1.8%	2.1%	2.5%	3.4%	4.0%	5.7%	27%	28%	34%
Lisi	*Not covered*	EUR	66.0	-	-	-	10.2%	11.0%	11.4%	1.7	1.6	1.4	16.8	14.3	12.6	24.2	19.5	17.1	0.9%	1.0%	1.2%	2.3%	3.5%	4.3%	37%	46%	50%
FACC	*Not covered*	EUR	17.7	-	-	-	6.0%	7.5%	7.9%	0.9	0.8	0.8	14.8	10.9	9.6	17.1	12.7	10.5	0.9%	1.5%	2.0%	4.5%	3.8%	5.4%	55%	35%	43%
Avio	*Not covered*	EUR	28.1	-	-	-	2.2%	2.2%	2.7%	1.2	1.1	0.9	56.2	48.9	35.4	105.7	104.1	85.7	0.4%	0.4%	0.5%				0%	0%	
Montana Aero	*Not covered*	CHF	20.3	-	-	-	8.9%	12.3%	13.4%	1.3	1.2	1.1	15.1	9.9	8.6	17.8	12.5	11.4	1.2%	2.0%							
FIGAEC Aero	*Not covered*	EUR	11.8	-	-	-	6.8%	7.6%	9.0%	1.6	1.5	1.3	24.2	19.5	14.8	45.7	25.7	15.0		0.0%		0.3%	2.5%	4.8%	5%	31%	46%
Civil median							**9.3%**	**10.5%**	**11.4%**	**1.8**	**1.6**	**1.4**	**20.4**	**17.5**	**12.6**	**29.0**	**24.3**	**17.1**	**1.0%**	**1.3%**	**1.9%**	**3.2%**	**3.7%**	**4.7%**	**47%**	**40%**	**50%**
BAE Systems Plc	Christophe Menard	GBP	1,779.0	2,140.0	20%	Hold	10.8%	11.0%	11.1%	1.7	1.6	1.5	16.2	14.4	13.2	21.6	19.1	17.6	2.1%	2.4%	2.6%	4.1%	5.2%	5.6%	62%	71%	71%
Thales	Christophe Menard	EUR	215.0	283.0	32%	Hold	12.7%	13.0%	13.5%	1.8	1.6	1.4	14.6	12.7	10.7	25.3	20.7	17.4	2.0%	2.3%	2.7%	4.6%	5.6%	6.7%	69%	75%	79%
Dassault Aviation**	Christophe Menard	EUR	286.8	330.0	15%	Hold	9.3%	9.5%	9.9%	1.4	1.2	1.1	14.9	12.1	9.6	18.4	15.5	12.9	1.7%	1.8%	2.2%	1.2%	0.4%	0.9%	35%	10%	16%
Renk AG	Christophe Menard	EUR	42.3	73.0	72%	Buy	17.6%	18.1%	18.7%	2.9	2.5	2.1	16.7	13.7	11.1	24.2	19.3	15.5	1.9%	2.6%	3.2%	4.1%	4.7%	5.6%	64%	61%	61%
Rheinmetall	Christoph Laskawi	EUR	947.6	2,100.0	122%	Buy	19.0%	19.9%	20.6%	2.8	2.0	1.6	14.8	10.1	7.6	23.2	15.8	11.9	1.6%	2.4%	3.2%	8.8%	0.3%	3.7%	140%	3%	30%
Leonardo	Christophe Menard	EUR	45.0	70.0	55%	Buy	9.3%	10.3%	10.9%	1.5	1.3	1.2	15.7	12.6	10.6	19.6	15.8	13.4	1.7%	2.2%	2.6%	3.5%	4.0%	4.6%	48%	45%	44%
Hensoldt	Christophe Menard	EUR	64.2	101.0	57%	Buy	13.7%	15.0%	16.5%	3.2	2.7	2.2	23.4	18.1	13.4	37.4	26.3	18.8	1.1%	1.4%	2.0%	2.5%	3.4%	4.6%	53%	57%	58%
QinetiQ Group	Richard Paige	GBP	411.0	600.0	46%	Buy	11.3%	11.2%	11.3%	1.4	1.2	1.1	12.4	10.4	9.8	15.3	12.7	11.6	2.7%	2.9%	3.2%	7.0%	6.9%	8.5%	73%	70%	82%
Chemring Group PLC	Richard Paige	GBP	477.4	650.0	36%	Buy	15.0%	15.4%	16.0%	2.7	2.4	2.2	18.0	15.7	13.8	23.7	20.9	18.8	1.7%	2.0%	2.2%	0.0%	2.5%	5.0%	0%	35%	63%
Babcock International	James Beard	GBP	972.0	1,140.0	17%	Hold	5.7%	8.4%	8.7%	1.2	1.0	0.9	20.5	11.4	10.0	29.3	15.5	13.7	0.8%	1.0%	1.1%	5.3%	3.6%	5.0%	89%	39%	50%
Fincantieri	Sriram Krishnan, CFA	EUR	10.6	18.5	74%	Buy	4.3%	4.8%	5.3%	0.6	0.5	0.5	13.0	11.1	9.1	23.2	16.1	12.4	0.0%	1.2%	2.0%	-1.2%	-1.9%	2.3%	-12%	-16%	16%
Exosens	Sriram Krishnan, CFA	EUR	52.7	60.0	14%	Hold	27.5%	27.7%	28.1%	5.2	4.5	3.7	19.0	16.3	13.3	26.1	22.5	18.4	0.7%	1.0%	1.2%	2.8%	3.3%	3.8%	50%	51%	49%
Theon International	Sriram Krishnan, CFA	EUR	30.8	39.0	27%	Buy	25.2%	26.0%	26.6%	3.9	3.2	2.7	15.6	12.4	9.9	22.0	18.0	14.5	1.1%	1.4%	1.7%	0.8%	2.7%	4.3%	13%	34%	46%
TKMS	Sriram Krishnan, CFA	EUR	76.6	110.0	44%	Buy	6.4%	7.0%	7.3%	1.4	1.1	0.8	22.1	16.0	10.8	44.0	34.6	26.3	0.0%	0.9%	1.3%	3.6%	5.9%	8.1%	119%	155%	161%
CSG	Sriram Krishnan, CFA	EUR	12.4	30.0	143%	Buy	24.1%	24.4%	25.0%	1.8	1.4	1.1	7.3	5.8	4.4	11.6	9.4	7.5	0.0%	3.2%	4.4%	8.0%	8.5%	11.4%	55%	50%	55%
Saab	*Not covered*	SEK	486.0	-	-	-	10.6%	11.1%	11.5%	2.7	2.3	2.0	25.9	20.7	17.1	33.3	26.5	21.7	0.7%	0.8%	1.0%	0.9%	1.5%	2.7%	22%	31%	46%
Kongsberg Gruppen	*Not covered*	NOK	281.9	-	-	-	16.9%	17.9%	18.1%	5.5	3.7	2.9	32.7	20.7	15.9	40.3	26.0	20.0	1.8%	2.5%	3.6%	2.8%	4.4%	6.0%	95%	96%	101%
Indra Sistemas	*Not covered*	EUR	46.4	-	-	-	10.2%	10.7%	11.2%	1.2	1.1	0.9	11.6	9.9	8.3	17.1	14.3	12.1	0.9%	1.0%	1.2%	6.4%	5.9%	7.8%	75%	59%	65%
Exail	*Not covered*	EUR	91.7	-	-	-	15.9%	18.4%	19.7%	2.9	2.3	2.0	18.4	12.5	9.9	61.7	23.4	17.5	0.0%	0.0%		3.1%	4.2%	6.1%	53%	49%	56%
Defence median							**12.0%**	**12.1%**	**12.5%**	**1.8**	**1.6**	**1.5**	**16.2**	**12.6**	**10.6**	**23.7**	**19.1**	**15.5**	**1.4%**	**1.9%**	**2.2%**	**3.3%**	**3.8%**	**5.0%**	**54%**	**50%**	**56%**
UK median							**11.3%**	**11.2%**	**11.3%**	**1.7**	**1.6**	**1.5**	**18.0**	**14.4**	**13.2**	**23.7**	**19.1**	**17.6**	**1.7%**	**2.0%**	**2.2%**	**3.7%**	**4.0%**	**5.3%**	**73%**	**39%**	**71%**
EU median							**10.2%**	**11.1%**	**11.5%**	**1.8**	**1.6**	**1.4**	**16.8**	**13.7**	**11.0**	**25.3**	**20.7**	**16.3**	**1.1%**	**1.5%**	**2.0%**	**2.8%**	**3.6%**	**4.6%**	**52%**	**46%**	**50%**
European A&D Sector median							**10.7%**	**11.1%**	**11.5%**	**1.8**	**1.6**	**1.4**	**16.8**	**13.7**	**11.0**	**24.2**	**19.5**	**16.3**	**1.1%**	**1.6%**	**2.1%**	**3.2%**	**3.7%**	**4.9%**	**54%**	**46%**	**55%**
European A&D Sector average / mean							**12.5%**	**13.3%**	**14.1%**	**2.3**	**1.9**	**1.6**	**20.5**	**16.2**	**12.6**	**31.6**	**23.9**	**18.7**	**1.2%**	**1.6%**	**2.1%**	**3.3%**	**3.4%**	**5.1%**	**54%**	**49%**	**60%**

uncovered stocks data is from Bloomberg
** Dassault EV excluding Thales value

*Source : Deutsche Bank Research , Bloomberg Finance LP for non-covered companies; *Based on closing prices as of 25 June 2026*



Valuation table – listed major US A&D companies

Figure 21: US A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
26/Jun/26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
General Electric	Scott Deuschle	USD	371	380	2%	Buy	21.4%	21.7%	22.4%	8.1	7.3	6.6	38.0	33.7	29.6	49.3	44.2	38.3	0.5%	0.6%	0.6%	2.2%	2.3%	2.6%	81%	77%	75%
Raytheon	Scott Deuschle	USD	187	240	29%	Buy	13.0%	13.7%	14.2%	3.0	2.7	2.5	22.9	20.0	17.8	27.3	24.3	22.1	1.5%	1.6%	1.7%	3.4%	4.1%	4.7%	70%	74%	77%
Honeywell	Nicole DeBlase	USD	231	250	8%	Buy	19.7%	20.6%	23.1%	4.2	4.0	4.0	21.4	19.2	17.5	21.9	20.0	18.4	2.1%	2.1%	2.3%	3.6%	4.3%	4.7%	68%	72%	69%
Boeing	Scott Deuschle	USD	218	233	7%	Hold	0.4%	4.3%	6.7%	2.1	1.7	1.5	NM	39.6	22.0	NM	57.8	28.1	0.0%	0.1%	0.4%	1.7%	3.4%	6.4%	801%	121%	132%
Lockheed Martin	Scott Deuschle	USD	505	575	14%	Hold	12.0%	11.9%	11.7%	1.6	1.5	1.5	13.5	13.1	12.5	17.0	16.0	14.9	2.8%	2.9%	3.1%	5.8%	5.6%	6.0%	71%	66%	67%
General Dynamics	Scott Deuschle	USD	345	377	9%	Hold	10.6%	10.9%	11.0%	1.7	1.6	1.5	16.3	14.9	14.0	20.3	18.4	16.9	1.8%	1.9%	2.0%	4.8%	5.0%	5.4%	77%	74%	75%
Northrop Grumman	Scott Deuschle	USD	499	691	38%	Buy	10.6%	10.5%	10.6%	1.8	1.7	1.6	17.1	16.1	15.1	17.9	17.0	15.6	1.9%	2.1%	2.2%	4.6%	4.7%	5.0%	70%	68%	67%
Transdigm	Scott Deuschle	USD	1,333	1,350	1%	Hold	48.9%	49.5%	50.4%	9.9	8.8	8.1	20.3	17.7	16.0	32.8	27.2	23.7	7.5%	3.8%	6.0%	2.5%	3.1%	3.7%	37%	41%	44%
L3Harris	Scott Deuschle	USD	289	300	4%	Hold	13.4%	14.1%	14.8%	2.6	2.3	2.1	19.4	16.4	14.1	24.9	21.3	18.5	1.7%	1.8%	1.9%	5.7%	5.9%	6.5%	97%	87%	86%
Howmet Aero	Scott Deuschle	USD	273	320	17%	Buy	29.5%	30.2%	31.9%	11.5	10.1	8.7	39.1	33.5	27.4	54.8	44.4	35.6	0.2%	0.2%	0.3%	1.8%	2.1%	2.6%	69%	68%	69%
Heico Corp	Scott Deuschle	USD	342	403	18%	Buy	23.9%	24.4%	24.8%	9.5	8.4	7.6	39.7	34.6	30.5	56.4	48.2	41.7	0.1%	0.1%	0.1%	2.4%	2.8%	3.1%	78%	80%	79%
Huntington Ingalls	Scott Deuschle	USD	279	298	7%	Hold	5.4%	5.9%	6.1%	1.0	0.9	0.9	18.4	16.0	14.2	16.2	15.1	13.7	2.0%	2.1%	2.3%	4.9%	5.5%	6.4%	77%	75%	78%
Hexcel	Scott Deuschle	USD	96	79	-18%	Hold	12.9%	15.2%	16.7%	3.9	3.5	3.2	30.5	23.4	19.1	41.8	30.6	25.1	0.8%	0.8%	0.9%	2.7%	3.5%	4.2%	75%	76%	75%
Woodward	Scott Deuschle	USD	436	470	8%	Buy	18.1%	18.8%	20.0%	6.2	5.8	5.3	34.1	30.6	26.3	46.7	41.6	35.8	0.3%	0.3%	0.3%	1.3%	2.3%	2.7%	44%	68%	69%
Crane	Scott Deuschle	USD	224	222	-1%	Buy	20.2%	21.6%	22.9%	4.7	4.3	4.0	23.3	20.0	17.3	32.8	28.4	24.8	0.5%	0.5%	0.5%	2.9%	3.6%	4.2%	64%	71%	74%
ATI	Scott Deuschle	USD	200	212	6%	Buy	17.6%	19.3%	20.4%	5.7	5.2	4.7	32.3	26.9	23.2	43.5	36.2	30.6				1.8%	2.1%	2.7%	55%	55%	62%
Teledyne Tech	*Not Covered*	USD	627	-	-	-	23.1%	23.2%	23.4%	4.8	4.6	4.4	20.9	19.8	18.6	26.0	24.1	22.4	0.0%	0.0%	0.0%	3.8%	4.3%	4.6%	74%	80%	80%
Textron	*Not Covered*	USD	89	-	-	-	9.4%	9.9%	10.2%	1.2	1.2	1.1	12.9	11.8	11.1	13.8	12.2	11.0	0.1%	0.1%	0.1%	4.6%	5.9%	7.3%	48%	57%	66%
Curtiss Wright	*Not Covered*	USD	768	-	-	-	19.2%	19.7%	20.3%	7.7	7.2	6.6	40.3	36.3	32.6	50.6	45.0	40.0	0.1%	0.1%	0.1%	2.1%	2.2%	2.5%	83%	78%	78%
Parsons Corp	*Not Covered*	USD	47	-	-	-	6.7%	7.5%	8.2%	1.0	0.9	0.9	14.7	12.2	10.7	14.3	12.8	11.7	0.0%	0.0%	0.0%	8.1%	9.3%	10.1%	91%	87%	83%
Moog	*Not Covered*	USD	416	-	-	-	12.0%	12.4%		3.3	3.1		27.5	25.3		39.2	35.9					1.5%	2.3%		39%	54%	
Aerovironment	*Not Covered*	USD	137	-	-	-	-12.9%	1.3%	4.7%	3.8	3.3	2.9	NM	NM	60.6	47.6	35.8	27.0				-0.2%	1.9%	3.5%	NM	464%	204%
Kratos Defense	*Not Covered*	USD	46	-	-	-	1.7%	4.8%	6.4%	4.3	3.5	2.9	NM	72.1	46.0	63.4	46.6	36.7				-1.1%	-0.4%	0.7%	NM	-30%	36%
AAR Corp	*Not Covered*	USD	139	-	-	-	10.2%	10.6%	11.0%	2.0	1.8	1.7	19.3	16.7	15.0	28.3	24.2	21.1				1.5%	1.4%	1.8%	25%	20%	24%
Mercury Systems	*Not Covered*	USD	106	-	-	-	0.2%	5.7%	9.6%	6.9	6.4	5.8	NM	NM	59.8	97.3	69.3	48.6				0.9%	1.2%	2.2%	NM	129%	124%
FTAI	Shannon Doherty	USD	268	335	25%	Buy	25.2%	32.2%	32.6%	8.4	5.0	4.1				22.0	13.8	12.0	0.6%	0.6%	0.6%	4.7%	7.0%	8.0%	142%	118%	98%
US A&D Sector median							**12.0%**	**12.4%**	**13.2%**	**3.9**	**3.5**	**3.1**	**21.4**	**20.0**	**18.2**	**32.8**	**27.8**	**23.7**	**0.5%**	**0.5%**	**0.5%**	**2.5%**	**3.4%**	**4.2%**	**70%**	**72%**	**75%**
US A&D Sector average / mean							**13.6%**	**15.3%**	**16.6%**	**4.4**	**4.0**	**3.7**	**24.3**	**24.6**	**23.8**	**36.7**	**31.7**	**25.5**	**1%**	**1%**	**1%**	**2.9%**	**3.6%**	**4.4%**	**102%**	**85%**	**79%**

*Source : Deutsche Bank Research, Bloomberg Finance LP; *Based on closing prices as of 25 June 2026*

Absolute and relative share price performance – European A&D stocks

Figure 22: European A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs Stoxx 600)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Airbus	EUR	193	2%	12%	18%	-2%	10%	-3%	-13%	23%	1%	10%	8%	-10%	-9%	-11%
Safran	EUR	339	3%	15%	20%	13%	27%	14%	-3%	29%	3%	13%	10%	4%	8%	6%
MTU Aero	EUR	359	8%	19%	16%	1%	-3%	1%	-11%	35%	7%	17%	6%	-7%	-22%	-7%
Rolls Royce	GBP	1,424	1%	13%	24%	23%	53%	24%	-2%	57%	1%	11%	14%	14%	34%	16%
Melrose	GBP	470	0%	-2%	-5%	-19%	-9%	-20%	-31%	6%	0%	-4%	-15%	-27%	-28%	-27%
Lisi *	EUR	66	-2%	-1%	24%	26%	85%	25%	-9%	87%	-3%	-3%	14%	18%	67%	17%
FACC *	EUR	18	-2%	6%	29%	58%	160%	54%	-6%	163%	-3%	4%	19%	50%	141%	46%
Avio	EUR	28	-18%	-29%	-18%	120%	50%	-4%	-46%	60%	-19%	-31%	-28%	112%	31%	-12%
Montana Aero	CHF	20	-6%	-10%	-24%	-25%	-20%	-28%	-42%	2%	-7%	-11%	-34%	-34%	-39%	-36%
FIGAEC Aero	EUR	12	-2%	8%	24%	10%	1%	9%	-10%	31%	-2%	7%	14%	1%	-18%	1%
Civil median			**-1%**	**3%**	**18%**	**18%**	**38%**	**11%**	**-11%**	**46%**	**-1%**	**1%**	**8%**	**9%**	**20%**	**4%**
BAE Systems	GBP	1,779	-4%	-11%	-15%	4%	-6%	4%	-25%	12%	-4%	-12%	-25%	-4%	-24%	-4%
Thales	EUR	215	-7%	-7%	-11%	-6%	-14%	-6%	-23%	0%	-8%	-8%	-21%	-14%	-32%	-14%
Dassault Aviation	EUR	287	-5%	-2%	-9%	6%	-5%	5%	-21%	10%	-5%	-4%	-19%	-2%	-24%	-2%
Renk	EUR	42	-12%	-18%	-13%	-19%	-38%	-21%	-53%	5%	-12%	-19%	-22%	-28%	-57%	-29%
Rheinmetall	EUR	948	-21%	-23%	-34%	-39%	-49%	-39%	-53%	5%	-22%	-25%	-44%	-47%	-68%	-47%
Leonardo	EUR	45	-15%	-14%	-23%	-9%	-7%	-8%	-32%	4%	-15%	-16%	-33%	-17%	-25%	-16%
Hensoldt	EUR	64	-11%	-25%	-8%	-12%	-35%	-12%	-45%	1%	-12%	-27%	-17%	-21%	-54%	-20%
Saab *	SEK	486	-3%	-10%	-21%	-8%	-7%	-10%	-35%	9%	-4%	-12%	-31%	-16%	-25%	-17%
Kongsberg Gruppen	NOK	282	-8%	-12%	-13%	30%	-10%	31%	-20%	49%	-8%	-13%	-23%	21%	-29%	23%
QinetiQ	GBP	411	-6%	-15%	-11%	-7%	-19%	-8%	-25%	3%	-6%	-17%	-21%	-15%	-38%	-15%
Babcock	GBP	972	-7%	-9%	-20%	-23%	-16%	-22%	-36%	4%	-7%	-10%	-30%	-31%	-35%	-29%
Chemring	GBP	477	-5%	-9%	-6%	1%	-17%	1%	-22%	7%	-5%	-11%	-16%	-7%	-36%	-7%
Fincantieri	EUR	11	-7%	-10%	-18%	-37%	-32%	-36%	-61%	6%	-8%	-12%	-28%	-45%	-51%	-44%
Indra Sistemas	EUR	46	-16%	-14%	-1%	-3%	39%	-5%	-30%	43%	-16%	-16%	-11%	-12%	20%	-12%
Exosens	EUR	53	-12%	-19%	-10%	12%	27%	9%	-29%	45%	-13%	-21%	-20%	4%	8%	1%
Exail	EUR	92	-15%	-29%	-22%	9%	-2%	11%	-42%	30%	-16%	-30%	-32%	1%	-21%	3%
Theon	EUR	31	-10%	-2%	7%	12%	2%	16%	-16%	41%	-11%	-3%	-3%	4%	-17%	9%
TKMS	EUR	77	3%	-8%	-1%	15%		16%	-28%	35%	2%	-9%	-11%	7%		8%
CSG	EUR	12	-14%	-34%	-52%			-51%	-65%	1%	-14%	-36%	-62%			-58%
Defence median			**-8%**	**-12%**	**-13%**	**-6%**	**-10%**	**-6%**	**-30%**	**7%**	**-8%**	**-13%**	**-22%**	**-14%**	**-29%**	**-14%**
UK median			**-4%**	**-9%**	**-6%**	**1%**	**-9%**	**1%**	**-25%**	**7%**	**-4%**	**-10%**	**-16%**	**-7%**	**-28%**	**-7%**
EU median			**-8%**	**-10%**	**-10%**	**4%**	**-3%**	**-1%**	**-29%**	**29%**	**-8%**	**-12%**	**-20%**	**-5%**	**-21%**	**-9%**
European A&D Sector median			**-6%**	**-9%**	**-8%**	**1%**	**-6%**	**-1%**	**-24%**	**11%**	**-5%**	**-10%**	**-18%**	**-7%**	**-25%**	**-9%**
European A&D Sector average / mean			**-7%**	**-7%**	**-2%**	**14%**	**22%**	**8%**	**-26%**	**44%**	**-6%**	**-9%**	**-12%**	**5%**	**3%**	**1%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 25 June 2026*

Absolute and relative share price performance – US A&D stocks

Figure 23: US A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs S&P 500)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Boeing	USD	218	-2%	0%	12%	1%	8%	0%	-14%	23%	0%	2%	-1%	-6%	-12%	-7%
Honeywell	USD	231	1%	0%	3%	18%	8%	18%	-7%	24%	3%	2%	-11%	12%	-11%	11%
General Electric	USD	371	4%	18%	30%	18%	48%	19%	-2%	53%	6%	20%	17%	11%	28%	12%
Raytheon	USD	187	1%	4%	-3%	0%	31%	1%	-13%	32%	2%	6%	-17%	-6%	11%	-5%
Transdigm	USD	1333	0%	9%	16%	1%	-9%	1%	-12%	19%	2%	11%	2%	-5%	-29%	-5%
Heico Corp	USD	342	2%	11%	26%	1%	7%	4%	-5%	34%	3%	13%	12%	-5%	-13%	-2%
Teledyne Tech	USD	627	1%	0%	3%	21%	24%	21%	-10%	30%	3%	2%	-11%	14%	4%	14%
Howmet Aero	USD	273	-2%	4%	18%	30%	54%	31%	-6%	61%	0%	6%	5%	24%	35%	25%
Textron	USD	89	0%	-4%	0%	-2%	11%	1%	-12%	17%	1%	-2%	-13%	-8%	-9%	-6%
Curtiss Wright	USD	768	-1%	2%	15%	35%	59%	37%	-4%	66%	1%	4%	2%	28%	39%	31%
Hexcel	USD	96	-1%	9%	19%	26%	69%	28%	-5%	72%	0%	12%	6%	19%	49%	22%
Parsons Corp	USD	47	-10%	-16%	-12%	-25%	-34%	-24%	-47%	0%	-8%	-14%	-26%	-31%	-54%	-31%
Mercury Systems	USD	106	-7%	6%	39%	41%	106%	43%	-14%	113%	-5%	8%	25%	34%	86%	36%
Moog	USD	416	2%	21%	44%	66%	127%	69%	-2%	136%	4%	24%	30%	59%	107%	62%
AAR Corp	USD	139	3%	23%	25%	62%	102%	66%	-2%	107%	5%	25%	11%	56%	82%	59%
Woodward	USD	436	1%	21%	23%	38%	76%	44%	-3%	87%	3%	23%	9%	32%	56%	37%
Crane	USD	224	4%	23%	33%	18%	19%	19%	-1%	40%	6%	25%	20%	12%	-1%	13%
ATI	USD	200	-1%	18%	39%	72%	133%	72%	-3%	183%	1%	20%	25%	65%	113%	65%
Civil median			**0%**	**7%**	**19%**	**20%**	**39%**	**20%**	**-6%**	**46%**	**2%**	**10%**	**5%**	**13%**	**20%**	**13%**
Lockheed Martin	USD	505	-1%	-5%	-19%	5%	10%	3%	-27%	23%	1%	-3%	-33%	-2%	-10%	-3%
General Dynamics	USD	345	-2%	0%	-3%	0%	18%	2%	-7%	20%	0%	2%	-17%	-6%	-2%	-5%
Northrop Grumman	USD	499	-4%	-10%	-28%	-14%	1%	-13%	-35%	2%	-2%	-8%	-41%	-20%	-19%	-20%
L3Harris	USD	289	-2%	-8%	-17%	-3%	17%	-2%	-24%	18%	0%	-6%	-31%	-10%	-3%	-9%
Huntington Ingalls	USD	279	-2%	-13%	-27%	-21%	16%	-18%	-39%	18%	0%	-11%	-41%	-28%	-3%	-25%
Kratos Defense	USD	46	-15%	-18%	-39%	-44%	12%	-39%	-65%	19%	-13%	-16%	-53%	-50%	-8%	-46%
Aerovironment	USD	137	-19%	-25%	-30%	-48%	-50%	-44%	-67%	1%	-18%	-23%	-44%	-54%	-70%	-51%
Defence median			**-2%**	**-10%**	**-27%**	**-14%**	**12%**	**-13%**	**-35%**	**18%**	**0%**	**-8%**	**-41%**	**-20%**	**-8%**	**-20%**
US A&D Sector median			**0%**	**7%**	**19%**	**20%**	**39%**	**20%**	**-6%**	**46%**	**2%**	**10%**	**5%**	**13%**	**20%**	**13%**
US A&D Sector average / mean			**0%**	**8%**	**18%**	**23%**	**47%**	**25%**	**-9%**	**61%**	**2%**	**10%**	**5%**	**17%**	**27%**	**18%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 25 June 2026*

Appendix 1

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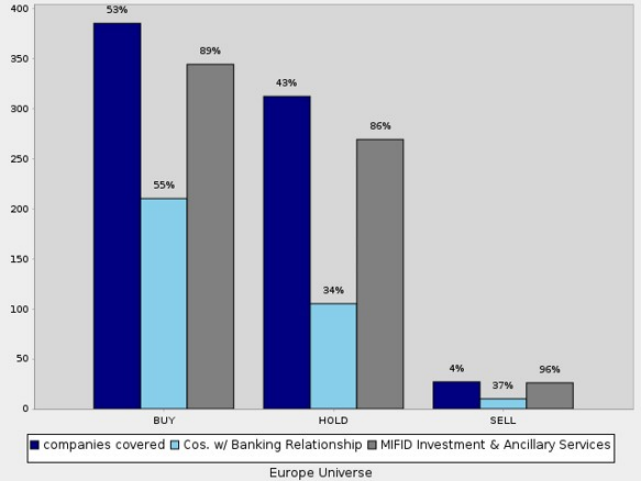
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Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

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TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

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